

2-1 Understanding Institutions

Building on the “rules of the game” metaphor, Douglass North, a Nobel laureate in economics, more formally defines

Learning Objective 2-1

Explain the concept of institutions and their key role in reducing uncertainty.

institutions (Formal and informal rules of the game.) as “the humanly devised constraints that structure human interaction.” An **institutional framework** (Formal and informal institutions that govern individual and firm behavior.)

is made up of formal and informal institutions governing individual and firm behavior. These institutions are supported by three “pillars” identified by Richard Scott, a leading sociologist. They are the

- (1) regulatory,
- (2) normative, and
- (3) cognitive pillars.

Shown in [Table 2.1](#), **formal institutions** (Institution represented by laws, regulations, and rules.) include laws, regulations, and rules. Their primary supportive pillar, the **regulatory pillar** (The coercive power of governments.) , is the coercive power of governments. For example, while many individuals and companies may pay taxes out of their patriotic duty, a larger number of them do so in fear of the coercive power of the government if they are caught not paying.

Table 2.1

Dimensions of Institutions

Degree of formality	Examples	Supportive pillars
Formal institutions	• Laws • Regulations	• Regulatory (coercive)

Degree of formality	Examples	Supportive pillars
	Rules	
Informal institutions	- Norms - Cultures - Ethics	- Normative - Cognitive

On the other hand,

informal institutions (Institution represented by cultures, ethics, and norms.) include norms, cultures, and ethics. The two main supportive pillars are normative and cognitive.

The

normative pillar (The mechanism through which norms influence individual and firm behavior.)

refers to how the values, beliefs, and actions of other relevant players—collectively known as

norms (Values, beliefs, and actions of relevant players that influence the focal individuals and firms.)

—influence the behavior of focal individuals and firms. The recent norms centered on rushing to invest in China and India have prompted many Western firms to imitate each other without a clear understanding of how to make such moves work. Cautious managers resisting such “herding” are often confronted by board members and investors: “Why are we not in China and India?” In other words, “Why don’t we follow the norm?”

Also supporting informal institutions, the

cognitive pillar (The internalized (or taken-for-granted) values and beliefs that guide individual and firm behavior.)

refers to the internalized, taken-for-granted values and beliefs that guide behavior. For example, what triggered whistleblowers to report Enron’s wrongdoing was their belief in what was right and wrong. While most employees may not feel comfortable with organizational wrongdoing, the norm is to shut up and not to “rock the boat.” Essentially, whistleblowers choose to follow their internalized personal beliefs on what is right by overcoming the norm that encourages silence.

How do these three forms of supportive pillars *combine* to shape individual and firm behavior? Let us use two examples—one at the individual level and another at the firm level (In Focus 2.1 provides another example). First, a speed limit formally defines how fast drivers can go. However, many drivers adjust their speed depending on the speed of *other* vehicles—a form of normative pillar. When some drivers are ticketed by police because they drive above the legal speed limit, they protest: “We are barely keeping up with traffic!” This statement indicates that they do not have a clear cognitive pillar regarding what is the right

speed (never mind the posted speed limit signs). They often let other drivers define what is the right speed. Second, in 2008, a year during which Wall Street had to be bailed out by trillions of taxpayer dollars, Wall Street executives paid themselves US\$18 billion in bonuses. The resulting public outcry was understandable. However, by paying themselves so handsomely, these executives did not commit any crime. Therefore, the regulatory pillar had little teeth. Rather, this was a case of major clashes between normative pillar and cognitive pillar held by these executives. In the minds of these executives, supported by their own cognitive pillar, they deserved such bonuses. What they failed to read was the normative pressure coming from an angry public.

In Focus 2.1

California versus Texas

As the two largest states by land area, population, GDP, and exports, California and Texas compete along a variety of dimensions (Table 2.2). For a long time, the Golden State was winning. The home of Silicon Valley and Hollywood, according to the *Economist*, has been the “brainier, sexier, and trendier of the two.” The Lone Star State has often been known as the “Cowboy” state. In the old American adage, “Go west, young man,” the West typically means California, not necessarily Texas. Generations of people flocking to California have made its population and its GDP the largest in the nation.

Table 2.2

California versus Texas

Rankings in the
United States

	California	Texas
Land area	2	1
Population	1	2
GDP	1	2
Exports	2	1

However, fortunes change. Today, a net 100,000 people leave California every year, and many rush to Texas—your author knows quite a few of them. Texas now attracts a net inflow of 150,000 people every year. The cost to rent a self-drive, small moving truck for household goods for a one-way journey from Los Angeles to Houston is

three times more than the other way around—there are that many more people to move from California to Texas.

So, what happened? In short, the Golden State has lost some of its shine, and the Lone Star State has risen. In the harsher words of the *Economist*, California has become “an inhospitable place plagued by over-regulation, mindless bureaucracy, and high taxes.” In 2014, *Chief Executive* magazine named California America’s *worst* state for business and Texas the *best* state for business—for the *tenth* year in a row.

The byzantine layers of regulations in the Golden State seem insurmountable. It takes two years to open a new restaurant in California. In Texas? Six to eight weeks. Between 2007 and 2011, some 2,500 businesses with three or more employees—with over 100,000 jobs—left California.

In sharp contrast to California’s high-tax, big-government, big-spending model, Texas operates on a low-tax, small-government, small-spending basis. Phenomenally business friendly, Texas has neither state income tax nor capital gains tax. It is business friendly and immigrant tolerant. Since 2006, more than half a million new jobs have been created in Texas, resulting in an unemployment rate of 7%, two points below the national average. At 11%, California’s unemployment has been hovering above the national average.

The rivalry between California and Texas is not just domestic. It has global ramifications. In 2014, Toyota moved its North America headquarters with 4,000 jobs from Torrance in southern California to Plano, a Dallas suburb in north Texas. For half a century, Japanese firms such as Toyota clustered in southern California because California offered the best location to launch and operate US operations and to manage their logistics flows to and from Japan. This logic of being headquartered in California is now breaking down under the push-and-pull effects of the outsized penalties of doing business in California and the lucrative incentives offered by Texas (US\$40 million in cash). The average salaries for the 4,000 new jobs in Plano would be in the six figures, far more than manufacturing wages. Given that Japanese firms tend to follow the norm set by leaders such as Toyota, the spillover benefits to Texas of possibly attracting other Japanese firms—as well as multinationals from elsewhere—are tremendous.

Sources: Based on (1) the author’s interviews; (2) *Chief Executive*, 2014, *2014 Best and worst states for business*, May 8, www.chiefexecutive.net; (3) *Economist*, 2009, *America’s future*, July 9, www.economist.com; (4) *Economist*, 2009, *Lone Star rising*, July 9, www.economist.com; (5) *Forbes*, 2014, *It makes sense for Toyota to leave California for Texas*, April 27, www.forbes.com; (6) *Forbes*, 2014, *It’s not about incentives*, April 29, www.forbes.com.

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